



support a much larger social involvement in their business strategies, if market forces facilitate such investments and returns.

How do we then create a market that will support such corporate action for social development ? If we are to transform the Hon'ble Prime Minister's vision into reality to its fullest potential, we need to find answers to this critical question.

MOBILISING CSR FOR ECONOMIC GROWTH WITH EQUITY

Over the years, progressive organisations have demonstrated several laudable examples of responsible corporate action for social development. Unfortunately, many of these efforts have not been able to reach a level of scale and dimension that can make an impactful difference on a nation as large and diverse as ours. Why is it, that despite possessing rich and diverse managerial capability, a tradition of entrepreneurship, economic resources and the right consciousness, corporates are still unable to participate more meaningfully in building natural and social capital ?

The reasons are many and complex. These relate to the lack of a conducive external environment as also to organisations' vision, values, leadership and competitive capability. **However, if there is one common thread, it is the unassailable fact that markets have failed to reward CSR (Corporate Social Responsibility).** They do not adequately provide the drivers required to sustain a level of intensity of long-term engagement necessary to produce results in the vast social fabric. As Prof. David Vogel says, in his recent work titled 'Market for Virtue', and I quote, *"CSR is sustainable only if virtue pays off. The supply of corporate virtue is both made possible and constrained by the market... while there is a place in the business system for responsible firms, the 'market for virtue' is not sufficiently important to make it in the interest of all firms to behave more responsibly."*

It is sometimes argued that the 'reputational asset' that CSR attains is an adequate reward in itself, and therefore, does not need any further market incentives. However, at the present stage in India, such a reputational asset has so far not led to any significant consumer support, persuaded sizeable investor interest, or resulted in meaningful preference in Government policies. Therefore, given the ambivalent market response, CSR initiatives, by and large, tend to attempt the minimum, often defined by compliance to regulations, and do not ignite creativity and innovation to accelerate social benefit.

There are also apprehensions amongst many that investing in CSR would put them at a disadvantage vis-à-vis their competitors

who do not choose to carry such social overheads. Nevertheless, there are worthy exceptions, where organisations have displayed sustained commitment and are certainly the harbingers of social change and an inspiration to others. **However, it is only when market forces make CSR a crucial component of shareholder value creation that new competitive forces will emerge in favour of responsible corporate action.** It is then that CSR will assume a new dimension – one that is defined by market forces, and not inspired by corporate conscience alone.

I am of the firm belief that private enterprises are well placed to play a much larger role in augmenting natural and social capital. Corporates have created assets and facilities that span the length and breadth of the country, and therefore, constitute the front line of engagement with civil society. The physical presence in communities around their catchments gives them an opportunity to directly engage in synergistic business activities that can create livelihoods and add to preservation of natural capital. More than financial resources, private enterprises possess the more crucial managerial capability to ensure efficient delivery of social projects. In that sense, CSR can lead to optimum utilisation of national resources, given that far higher social benefits will accrue to every unit of incremental cost incurred by the organisation. Thus, given the right market incentives, Indian corporates can significantly add to Government efforts in pursuing growth with equity in constructive public-private partnerships.

The key to corporates sustaining a meaningful strategy for constructive social action therefore lies in the ability to create strong market drivers that incentivise CSR. Civil Regulation, including pressure groups, act as strong drivers to ensure socially responsible action. Government regulation and public policy are also influential drivers. However, these again tend to deliver the bare minimum interventions. Besides, over reliance on regulation can stifle corporate creativity and innovation. A perceptible augmentation of societal capital will take place when market drivers spur innovation and a sense of competition to deliver CSR in ways that positively impact financial results. CSR initiatives then become a part of the balance sheet deliverables, are quantified by the market and provide a direct incentive to the company to enhance socially responsible behaviour.



MAKING MARKETS WORK FOR CSR

Can we, therefore, make markets work for CSR ? Are there compelling market drivers which would give a positive reinforcement to corporates to focus on Triple Bottom Line performance ? Can these powerful drivers energise innovation by companies, so that CSR becomes an integral part of the marketing mix and a competitive differentiator ?